AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2019

Principles of Accounting Paper II

Time: 2 hours 15 minutes Marks: 70

April/ May 2019 for Teaching & Learning only

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are THIRTEEN questions. Answer ALL questions. Choices are specified inside the paper.
3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.
4. The marks for the questions are shown in brackets ( ).
5. You may use a scientific calculator if you wish.
6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 5 Marks)

a. Gross and net amounts are interchangeably used in different accounting records but they are different.

Mention any ONE difference between gross amounts and net amounts. (1 Mark)

Gross Amount	Net Amount

b. Describe various items that are adjusted in gross purchases to calculate net purchases. (4 Marks)

April/ May 2019 for Teaching & Learning only

Q.2. (Total 4 Marks)

Following transactions have been taken from the books of Zeenat Limited.

- Issued 6,000 8% debentures of Rs 100 each at 10% premium for the purchase of machine.
- Converted 1,000 10% debentures at par into ordinary shares.

Prepare the necessary general entries to record the given transactions.

S. No.	Particulars	P.R.	Debit	Credit

April/ May 2019 for Teaching & Learning only

Q.3. (Total 4 Marks)

Majida Limited is providing the following details of its business.

Account Title	Amount (Rs)
Purchases	37,800
Purchase return	1,800
Carriage in	2,000
Opening inventory	15,000
Closing inventory	8,000

From the given information calculate the amount of cost of goods sold.

April/ May 2019 for Teaching & Learning only

Q.4. (Total 3 Marks)

The following ledger has been made after posting the decisions of the directors of Beena Limited at the end of the year May 31, 2018.

Retained Earnings Account					
Amount (Rs)					
May 31	General reserve	40,000	June 1	Balance b/d	60,000
May 31	Ord. dividend payable	20,000	May 31	Net income	120,000
May 31	Balance c/d	120,000			
		180,000			180,000
			June 1	Balance b/d	120,000

From the given account, prepare the necessary general journal entries for the transfer of net income and the decisions of the directors.

Date	Particulars	P.R.	Debit	Credit

April/ May 2019 for Teaching & Learning only

Q.5. (Total 3 Marks)

Following details have been taken from the books of Shaheen Limited.

Account Title	Amount (Rs)
Retained earnings as on January 01, 2018	880,000
Net profit for the year	160,000
Dividend declared for the year	80,000
Transferred to reserves	25,000
Authorized Capital 300,000 shares of Rs 10 each	3,000,000
Issued and paid up capital 120,000 shares of Rs 10 each	1,200,000

From the given information prepare the shareholders' equity portion of the statement of financial position (balance sheet) as on December 31, 2018.

April/ May 2019 for Teaching & Learning only

Q.6. (Total 6 Marks)

Accountant of Ahmed Traders has prepared the following summary related to non-current (fixed) assets as on June 30, 2018.

Assets	Depreciation Method	Cost (Rs)	Accumulated Depreciation (Rs)
Furniture	10 % straight line method	400,000	120,000
Laptop	25% diminishing balance method	80,000	35,000

a. Explain ONE key difference between straight line method and diminishing balance method. (2 Marks)

Straight Line Method	Diminishing Balance Method

b. On December 31, 2018, the business exchanged the old laptop with a new laptop costing Rs 95,000 at an agreed trade in value of Rs 38,000. If Ahmed Traders charges full year depreciation in the year of disposal, then; calculate the gain/ loss on December 31, 2018. (4 Marks)

April/ May 2019 for Teaching & Learning only

Q.7. (Total 5 Marks)

Rahil, Moiz and Haris are partners in RMH Associates. Following statement of financial position (balance sheet) has been extracted from their accounting records.

Statement of Financial Position (Balance Sheet)			
Amount (Rs)			
Cash	72,000	Trade payables (accounts payable)	20,000
Trade receivables (accounts receivables)	104,000	Capital - Rahil	80,000
Merchandise inventory	54,000	Capital - Moiz	160,000
Building	270,000	Capital - Haris	240,000
	500,000		500,000

At the end of the year, Moiz retired from the firm with the consensus of all the remaining partners.

Prepare general journal entries to record the retirement of Moiz under each of the given situations separately.

a. Moiz transferred his entire interest to his son Majid.
b. Moiz took cash Rs 50,000 and 8% note payable for the remaining amount of his capital.
c. Moiz sold 1/2 of his share to Rahil and the remaining to Haris for Rs 85,000 and Rs 90,000 resprectively.
d. Moiz transferred 1/4 of his share to his daughter, Mehwish and sold the remaining share to Wasif for Rs 140,000.
e. Moiz sold 1/8 of his share to Nasir for Rs 30,000 and the remaining share was sold to Rafiq for Rs 180,000.

April/ May 2019 for Teaching & Learning only

S. No.	Particulars	P.R.	Debit	Credit

S. No.	Particulars	P.R.	Debit	Credit

Q.8. (Total 5 Marks)

Zareen, Zarnish and Zainab formed a partnership business by contributing the following:

Zareen: Machine costing Rs 480,000 and inventory costing Rs 148,000
Zarnish: Furniture amounting Rs 345,000 and equipment costing Rs 240,000
Zainab: Office premises worth Rs 550,000 and cash Rs 200,000

They agreed that the capital of each partner will be equal to that of Zainab and have agreed to contribute the shortfall if any in the form of cash.

Calculate the amount of capital of each partner.

April/May 2019 for Teaching & Learning only

Q.9. (Total 5 Marks)

The following profit and loss distribution summary has been taken from the partnership records of RQ Associates.

Description	Raheel (Rs)	Qadir (Rs)	Total (Rs)
Net Income			720,000
Salaries	120,000	90,000	(210,000)
10% interest on opening capital	90,000	60,000	(150,000)
Bonus	20,000	40,000	(60,000)
Remaining profit			300,000
Distribution of remaining profit	150,000	150,000	(300,000)
Total	**380,000**	**340,000**	**Nil**

Additional Data:

- During the year, Raheel withdrew cash Rs 24,000 and Qadir withdrew merchandise costing Rs 36,000 for their personal use.
- Both the partners invested cash Rs 48,000 in the firm.

a. From the given information, calculate the amount of opening capital of both the partners.
(2 Marks)

b. If the business follows fixed capital method, then prepare the current account for Raheel.
(3 Marks)

Current Account - Raheel	

April/ May 2019 for Teaching & Learning only

Q.10. (Total 5 Marks)

Mr Arif is a Manager of a health club named 'Look Smart'. The details about the organisation are given below.

Account Title	Amount (Rs)
Wages paid	12,000
Donation collected	28,000
Non-current (fixed) assets	35,000
Bank loan	10,000
Subscription for the year	47,000
Depreciation of machine	7,000

Prepare the income and expenditure account for 'Look Smart'.

April/ May 2019 for Teaching & Learning only

Q.11. (Total 5 Marks)

Complete the given table by mentioning the heading under which each of the given items will be recorded in the cash flow statement.

(**Note:** The first example has been done for your assistance.)

Different types of items	To be classified under
Increase in current asset	Operating activities
Purchase of new furniture	
Gain on sale of building	
Receipt from Issue of shares	
Decrease in current liabilities	
Dividend paid to shareholders	

April/ May 2019
for
Teaching & Learning only

Q.12. (Total 10 Marks)

EITHER

a. Shakoor is a small trader who does not maintain proper books of accounts. The following details have been taken from his records as on December 31, 2018.

Account Title	January 01, 2018 (Rs)	December 31, 2018 (Rs)
Cash	18,000	22,500
Machinery	250,000	300,000
Allowance (provision) for depreciation - Machinery	50,000	60,000
Merchandise inventory	40,000	36,000
Prepaid Insurance	5,000	7,500
Outstanding salaries	9,000	---
Trade receivables (accounts receivable)	30,000	40,000
Trade payables (accounts payable)	26,000	34,000

Shakoor invested additional capital of Rs 26,000 in March and Rs 24,000 in August. Monthly drawings of Shakoor amounted to Rs 3,000.

Prepare the statement of profit and loss for the year ended December 31, 2018. Show the necessary workings.

April/ May 2019 for Teaching & Learning only

April/ May 2019
for
Teaching & Learning only

OR

b. Rauf started his business by investing cash Rs 350,000 on April 01, 2018. He does not maintain proper books of accounts and has provided the following receipts and payment account on March 31, 2019.

Receipts		Payments	
Account Title	**Amount (Rs)**	**Account Title**	**Amount (Rs)**
Ali's Capital	350,000	Cash purchases	478,000
Cash Sales	960,000	Equipment	120,000
Additional investment	48,000	Prepaid advertising	40,000
		Rent expense	40,000
		Salary expense	30,000

Additional information

- Prepaid advertisement at the end of the year amounted to Rs 8,000
- Equipment is depreciated by using straight line method @ 20% p.a.
- Merchandise inventory on March 31, 2019 was valued at Rs 33,800
- Rent per month was Rs 4,000 and it was due for the last two months.
- Prepaid salaries were Rs 6,000
- Sales were over-casted by Rs 48,000

Prepare the statement of profit or loss for the year ended March 31, 2019.

April/May 2019 for Teaching & Learning only

April/ May 2019
for
Teaching & Learning only

Q.13. (Total 10 Marks)

EITHER

a. Yaseen and Zeeshan are equal partners in a partnership firm. The statement of financial position (balance sheet) is as under:

Statement Of Financial Position (Balance Sheet)			
Amount (Rs)			
Cash	40,000	Other payables	140,000
Other assets	600,000	Capital - Yaseen	250,000
		Capital - Zeeshan	250,000
	640,000		640,000

They decided to admit Waseem as a new partner for 1/3 interest.

Prepare general entries to record admission of Waseem and prepare the statement of financial position (balance sheet) for each of the following situations separately under **goodwill** method.

Situation 1: Waseem invest cash Rs 250,000
Situation 2: Waseem invests cash Rs 220,000
Situation 3: Waseem invests cash Rs 290,000

(10 Marks)

April/May 2019 for Teaching & Learning only

April/ May 2019
for
Teaching & Learning only

April/ May 2019
for
Teaching & Learning only

OR

b. The statement of financial position of AY partnership is as under:

Assets		Equity	
Account Title	**Amount (Rs)**	**Account Title**	**Amount (Rs)**
Building	800,000	Capital - Arif	250,000
Less: allowance for depreciation	480,000	Capital - Yaseen	250,000
Merchandise inventory	220,000	Bank loan	200,000
Trade receivables (accounts receivable)	130,000	Trade payables (accounts payable)	50,000
Cash and bank	80,000		
Total	**750,000**	**Total**	**750,000**

On December 31, 2018 the partners decided to dissolve the firm. At the time of dissolution, assets and liabilities realised as under:

- Cash received from the sale of building and inventory amounted to Rs 500,000.
- Cash collected from trade receivables amounted to Rs 75,000
- Liabilities were paid in full.
- All the available cash after dissolution is shared between the partners on the basis of capital.

i. Prepare the necessary general entries to record dissolution of AY partnership. (6 Marks)

Date	Particulars	P.R.	Debit	Credit

April/ May 2019 for Teaching & Learning only

Date	Particulars	P.R.	Debit	Credit

April/ May 2019 for Learning only

Space for working

ii. Prepare either cash account OR realisation account as on December 31, 2018. (4 Marks)

END OF PAPER

Please use this page for rough work

April/ May 2019
for
Teaching & Learning only

Please use this page for rough work

April/ May 2019
for
Teaching & Learning only

Please use this page for rough work

April/ May 2019
for
Teaching & Learning only